Liberalisation and restructuring, 1980–2001

Lecture 4

Learning objectives

- **How did the 1980 programme change the growth strategy and the role of the state?**
  The January decisions made exports the main stated source of growth. Market prices were given greater weight in decisions about investment and production. Public enterprises were to operate with fewer price controls, and privatisation was intended to expand the role of private businesses.
- **How did liberalisation change trade, investment and public financing?**
  Export incentives and easier imports exposed producers to competition at home and abroad. Foreign capital was expected to add to domestic savings and bring technology. In the 1990s, however, government borrowing absorbed much of the finance available in domestic markets.
- **Why did stabilisation remain difficult?**
  The early fall in inflation did not last as public deficits, debt and inflation rose again. In 1994, pressure on the lira intensified as investors lost confidence in the financing of public and external deficits. In 2000–2001, bank funding and currency exposures made it harder to defend the exchange-rate programme.

Major turning points, 1980–2001

Year	Main development
1980	January programme and September military coup
1989	Full financial liberalisation
1994	Currency crisis and April stabilisation measures
1999–2001	Disinflation programme, twin crises and restructuring

- **1980: New strategy and military coup**
  The January decisions combined short-run stabilisation with a shift toward export-oriented industrialisation. The military took power in September and curtailed political and labour rights. The new authorities retained the economic programme.
- **1989: Financial liberalisation**
  Restrictions on foreign currency transactions had been eased during the 1980s. Full financial liberalisation was reached in 1989. Access to foreign finance increased alongside exposure to reversals in capital flows.

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- **1994: Currency crisis and adjustment**
  Persistent fiscal deficits and short-term inflows had increased vulnerability in the early 1990s. A loss of confidence prompted asset sales and pressure on the lira. The April measures sought to restore stability through fiscal adjustment and structural reforms.
- **1999–2001: Disinflation, crisis and restructuring**
  A new IMF-supported programme used a preannounced exchange-rate path to reduce inflation. Funding stress in November 2000 preceded a renewed crisis and the move to a floating lira in February 2001. The April 2001 programme linked stabilisation to bank restructuring and institutional reform.

The crisis inherited from the 1970s

- **Slower growth, higher inflation and a widening trade deficit**
  Economic growth nearly came to a standstill at the end of the 1970s. Consumer price inflation exceeded 50 percent in 1978 and was around 65 percent in 1979. Higher oil costs and a widening trade deficit increased the need for foreign currency.
- **Foreign currency and imported materials**
  Industry relied on imported fuel and production inputs. Higher oil prices made an already difficult external payments position worse. When foreign currency ran short, firms could not obtain enough materials to maintain production.
- **Shortages, black markets and political instability**
  Supply and demand became increasingly out of balance as imported materials became scarce. Some goods were sold at different prices in official and unofficial markets. Political instability made the economic crisis harder to manage and impeded earlier adjustment programmes.

Foreign exchange scarcity and production

- **Foreign exchange as the immediate constraint**
  Export receipts were insufficient to cover the country's demand for imports. Oil price increases intensified the shortage of foreign currency. Achieving a durable external payments balance had been a planning objective, but it had not been achieved by the end of the Third Plan.
- **Restricted imports and domestic output**
  Many industries needed imported raw materials and intermediate goods. Restricted access to those inputs lowered the amount of production that existing plants could sustain. The resulting supply shortages contributed to queues and black-market trading.
- **Debt rescheduling and new external finance**
  The 1978 and 1979 programmes offered the prospect of postponed debt payments and new loans if agreed measures were implemented. The programmes were not fully carried out, and access to new borrowing remained limited. In 1980, new external finance helped restore imports of raw materials, intermediate products and final goods.

Explanations of the policy shift

Dimension	Policy rationale	Alternative interpretation
Industrial strategy	Specialise and compete internationally	Technology and learning can change comparative advantage
Crisis diagnosis	Correct distorted prices and incentives	External payments and political pressures were central
Role of the state	Reduce intervention in resource allocation	Industrial development still requires public capacity

- **Industrial strategy and technological learning**
  The case for greater openness rested partly on specialising in goods Türkiye could produce at relatively low cost. A concern was that present costs did not capture what firms could learn by entering new industries. Technology and production experience could change what the country was able to export competitively.
- **Different diagnoses of the crisis**
  The programme gave market prices a central role in correcting distorted incentives. The shortage of foreign currency nevertheless directly limited the supply of imported inputs needed for production. Oil shocks, external financing conditions and political instability also shaped the crisis.

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- **The role of the state in industrial development**
  The reforms sought to reduce intervention in the allocation of resources and expand the role of private initiative. A competing view held that public investment and support for innovation remained important for industrial development. The disagreement concerned how productive capacity could be built over time.

The 24 January 1980 programme

- **Immediate stabilisation objectives**
  The government needed to restore access to foreign finance and relieve shortages of essential goods. Tight monetary policy and increases in public-enterprise prices were intended to restrain demand. External loans supported imports that could raise the use of existing industrial capacity.
- **Long-run restructuring objectives**
  Export-oriented industrialisation replaced import substitution as the stated strategy. Market prices were to guide decisions in goods and financial markets. Privatisation and less direct state intervention were intended to increase the role of private enterprise.
- **Programme leadership and international support**
  Turgut Özal was given authority to prepare and implement the programme. The IMF and World Bank supported the measures, with external credit tied to the policy programme. The decisions were continued after the military coup, and Özal remained in charge of economic policy.

Stabilisation and structural change

Short-run stabilisation	Long-run restructuring
Reduce domestic demand and inflation	Expand exports and import competition
Obtain foreign finance and restore imports	Liberalise prices and financial markets
Adjust administered prices and exchange rates	Reduce direct state production and promote private activity

- **Short-run stabilisation**
  The programme combined monetary restraint with administered price increases and an exchange-rate adjustment. External loans were used to restore access to raw materials and other imported goods. These measures sought to reduce inflation and shortages while easing pressure on external payments.
- **Long-run restructuring**
  Export promotion and easier imports were intended to change how industry competed. Price and financial liberalisation increased the role of market signals in allocating resources. The programme also prepared privatisation and sought to reduce direct public production.

Main instruments of the 1980 programme

Instrument	Intended purpose
Enterprise prices	Reduce losses and the budget burden
Exchange rate and exports	Increase export profitability and foreign earnings
Trade and foreign exchange	Improve access to goods, inputs and foreign capital
Interest rates	Encourage saving and change the allocation of credit

- **Public-enterprise pricing**
  Prices of some public-enterprise goods and services were increased sharply. Higher prices were intended to reduce enterprise losses and the need for transfers from the budget. Households and firms purchasing those goods faced higher costs.
- **Exchange-rate policy and exports**
  The lira was devalued and exchange rates were adjusted more frequently. Export incentives were introduced to improve profitability and increase foreign earnings. The benefits could be partly offset by the rising lira cost of imported inputs.

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- **Trade and foreign exchange**
  Restrictions on trade and foreign currency transactions were gradually eased. Firms gained greater scope to obtain inputs, while foreign investment was encouraged. Domestic producers faced more competition from imported goods.
- **Interest rates and credit**
  Market determination of interest rates was intended to make financial saving more attractive. Higher rates could also raise borrowing costs for firms. Interest-rate reform therefore changed incentives for both depositors and investors.

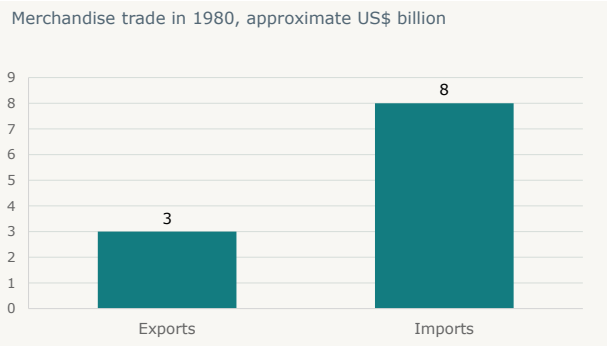
Exchange-rate adjustment and competitiveness

- **Nominal depreciation and trade incentives**
  The lira was devalued at the start of the programme, and the exchange rate was subsequently adjusted more frequently. Depreciation could make Turkish goods cheaper for foreign buyers and imports more expensive in lira. The effect on the trade balance depended on how strongly export and import volumes responded to prices.
- **The cost of imported inputs**
  Domestic manufacturers continued to use imported materials and intermediate goods. Depreciation made those inputs more expensive in lira. The gain in export competitiveness could therefore be smaller for firms with a high share of imported inputs.
- **Capacity, quality and technology**
  A more favourable price for exporters could not by itself raise production capacity or improve quality. Domestic technological capability affected the range of goods firms could sell internationally. The effect of exchange-rate policy depended in part on firms' ability to expand supply and improve products.

Export-led growth as the new strategy

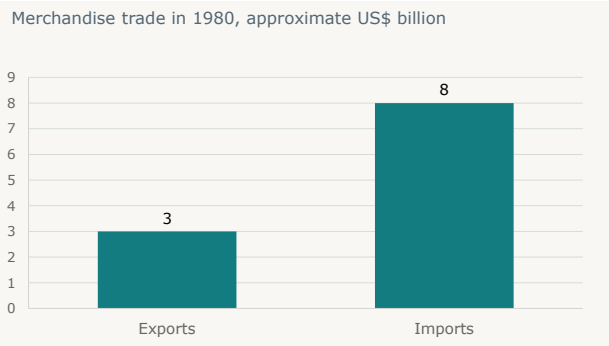
- **Exports as a source of growth**
  Earlier industrial policy had focused on supplying the domestic market with goods previously imported. After January 1980, sales to foreign markets became the main stated source of expansion. Export promotion was intended to earn foreign exchange as well as increase production.
- **Exchange-rate policy, incentives and labour costs**
  The lira was devalued and exporters received generous incentives in the early years. Lower labour costs were also expected to make domestic production more competitive. Industrial exports increased, although imports also rose over the longer period.
- **Export promotion and selective industrial support**
  New industries may need time to develop productive capacity and lower costs. Export promotion can be combined with temporary support for new products and research and development. The two policies address different needs: access to larger markets and the ability to compete in them.

The merchandise trade gap in 1980



- **Merchandise exports and imports**
  At the turning point, merchandise exports were about three billion US dollars. Imports were approximately eight billion US dollars. Export receipts thus covered well under half of the merchandise import bill.
- **The size and meaning of the gap**
  The difference between the two rounded values is about five billion US dollars. It measures the gap in merchandise trade, which is narrower in scope than the current account. The shortfall helps explain the pressure to find new sources of foreign currency.

The merchandise trade gap in 1980



- **Export expansion and foreign currency** Higher export earnings were expected to ease pressure on external payments. Exchange-rate changes and export incentives were used to support that objective. Imported fuel and industrial inputs meant that foreign currency was still needed to sustain production.

Import liberalisation and domestic competition

- **Competition in domestic goods markets**
  Easier imports meant domestic producers faced foreign competition even when selling within Türkiye. The reforms expected that high-cost or low-quality producers would have to adapt. Greater pressure on firms could improve efficiency, but some producers could also lose market share.
- **Consumer benefits and product quality**
  Foreign products gave consumers alternatives to goods produced at home. Domestic firms faced pressure to improve product quality. This effect was particularly visible in consumer durables.
- **Technology, skills and infrastructure**
  Competing with foreign producers required more than price adjustment. Research, innovation and qualified workers were needed to sustain improvements in quality and productivity. Infrastructure and investment in skills could support firms' ability to compete.

Public-enterprise prices and duty losses

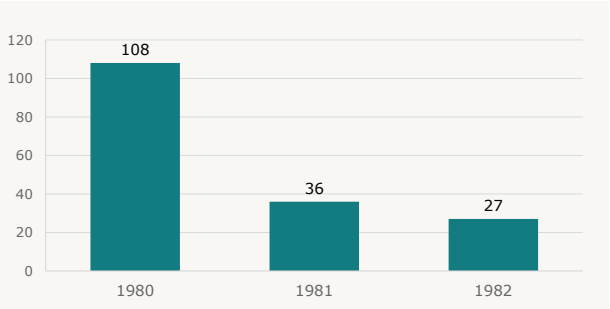
- **Initial public-enterprise price increases**
  At the start of the programme, increases in some public-enterprise prices ranged from 100 to 400 percent. These were changes in the prices of particular goods and services, rather than a measure of overall inflation. Price adjustment was intended to reduce the gap between production costs and administered selling prices.
- **Duty losses and budget transfers**
  A duty loss arose when the government required an enterprise to sell below its cost. Budget transfers covered some of the resulting losses. Raising administered prices and narrowing the list of controlled goods were intended to reduce that burden.
- **Limits on pricing autonomy**
  State enterprises were allowed to set more of their own prices. Controls remained on certain goods and services, including coal, fertiliser and some transport. Government appointment of enterprise managers also limited the scope for independent pricing decisions.

The military coup and labour adjustment

- **Political and labour rights after the coup**
  The military seized power on 12 September 1980. Political parties were closed and union activity was curtailed. The restrictions affected political participation as well as labour and social rights.
- **Implementation under military rule**
  The January programme had been introduced before the coup. It was retained under military rule, and Turgut Özal was appointed deputy prime minister responsible for the economy. Restrictions on labour organisation reduced workers' ability to contest parts of the adjustment.
- **Labour costs and distribution**
  Lower labour costs were expected to help firms compete in export markets. Weak bargaining rights and restrained real public-sector earnings shifted part of the adjustment onto workers. The resulting distributional costs were separate from any improvement in export profitability.

Inflation in the first years of the 1980 programme

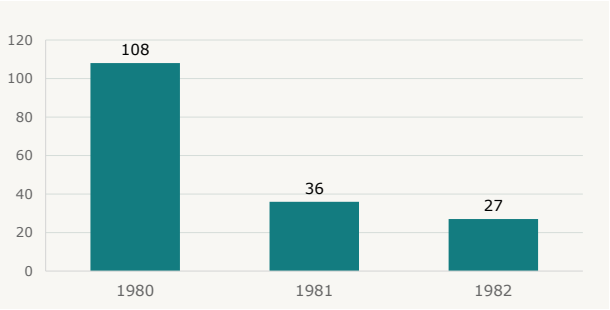
Inflation rate, %



- **The initial fall in inflation**
  The historical series shown records inflation of 108 percent in 1980, 36 percent in 1981 and 27 percent in 1982. The decline was especially sharp in the first year after 1980. Prices were still rising in 1982, though at a much slower rate.
- **Inputs, energy and capacity utilisation**
  External loans allowed firms to obtain more raw materials and intermediate goods. Easing energy shortages allowed existing capacity to be used more fully. As supply improved, queues and black-market sales became less prevalent.

Inflation in the first years of the 1980 programme

Inflation rate, %



- **Limits of the initial improvement**
  The early decline did not become durable price stability. Budget deficits, foreign debt and inflation subsequently increased again. The outcome points to the difference between initial stabilisation and a sustained reduction in inflation.

Labour costs and competitiveness

- **Labour's share of manufacturing unit costs**
  Labour was estimated to account for about 15 to 20 percent of manufacturing unit costs on average. The estimate refers to the cost of a unit of output, rather than labour's share of national income. The share could differ across industries and production methods.
- **Limited savings from lower wages**
  A reduction in wages affects the labour component of total cost. If input quantities and other costs are unchanged, a 10 percent reduction in that component reduces total unit cost by only about 1.5 to 2 percent at the stated average shares. Reliance on cheap labour therefore limits the scope for sustained cost reductions.
- **Skills, innovation and competitiveness**
  Low earnings can encourage qualified workers to move to countries that pay more. The loss of skills can make it harder to adopt and develop new technologies. Durable improvements in competitiveness depend on innovation and productivity as well as wages.

Interest rates, savings and investment

Potential benefits of higher rates	Costs and risks
Greater incentive to hold financial savings	Higher cost of capital for firms
Potential attraction of foreign resources	Pressure on capital-intensive investment
More market influence over credit allocation	Exposure to changes in short-term finance

- **Savings and foreign finance**
  Higher deposit rates can encourage households to hold more financial savings. Relatively high domestic yields can also attract funds from abroad. The stability of those inflows depends in part on their maturity and investors' willingness to renew them.
- **Borrowing costs and investment**
  Higher interest rates increase the cost of financing a new project. Capital-intensive activities are especially sensitive when they require substantial borrowing. The investment response also depends on expected profits, so interest rates alone do not determine it.

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- **Credit allocation and short-term exposure** When rates are liberalised, banks and borrowers respond more directly to the price of funds. High yields on government securities can draw finance away from other borrowers. A greater reliance on short-term funds can also make credit conditions more sensitive to shifts in confidence.

Financial reform and the bankers' crisis

- **Market determination of interest rates**
  The programme sought to let the supply of and demand for funds determine interest rates. Higher rates were expected to make deposits and other forms of financial saving more attractive. In practice, the transition from administered rates was gradual.
- **The bankers' crisis and policy response**
  The early opening of financial markets was followed by the bankers' crisis. The Central Bank was subsequently given authority to set interest rates again. This interrupted the initial move toward fully market-determined rates.
- **Regulation and confidence**
  Allowing rates to move freely changed how financial institutions competed for funds. The crisis showed that removing rate controls did not ensure stable intermediation. The capacity to supervise financial institutions remained important as the system became more open.

Financial liberalisation in 1989

- **Full financial liberalisation in 1989**
  Foreign currency controls were eased during the 1980s. By 1989, the transition to full financial liberalisation had been completed. The change made cross-border financial transactions easier.
- **Financing options for banks, firms and government**
  Banks and firms could draw more readily on funds from abroad. The government could also finance its borrowing through a broader financial market. The benefits depended on whether the new funds financed productive investment or recurrent borrowing needs.
- **Exposure to international financial conditions**
  Capital inflows could rise when domestic yields were attractive to foreign investors. Changes in expectations or funding conditions could cause those inflows to reverse. The effects of the Asian and Russian crises illustrated this vulnerability in the late 1990s.

Foreign direct investment and short-term finance

Form of finance	Potential contribution	Implications
Foreign direct investment	Production capacity and technology transfer	Domestic linkages and productive capability
Short-term financial inflows	Access to finance and foreign currency	Reversal risk and refinancing needs
External borrowing	Financing investment or public spending	Currency exposure and debt service

- **Foreign direct investment**
  Foreign direct investment was expected to supplement domestic savings and expand production. Joint ventures and easier administrative procedures were used to attract it. The longer-run contribution depended in part on technology transfer and links with domestic producers.
- **Short-term financial inflows**
  Short-term inflows made foreign exchange available and helped finance deficits. They were attracted partly by high domestic returns. A change in expectations could cause investors to withdraw quickly.

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- **External borrowing and currency risk**
  External debt can finance investment or government spending. If debt is denominated in foreign currency, depreciation increases its lira cost. Repayment and refinancing depend on the income and foreign exchange available when obligations come due.

Public borrowing reshaped financial markets

- **Public deficits and rising debt**
  Government spending and budget deficits rose in the 1990s despite the earlier aim of reducing the state's economic role. Deficits were financed through domestic and foreign borrowing and, at times, Central Bank resources. Rising public debt increased interest payments and made refinancing more difficult.
- **The role of government securities**
  Treasury bills and government bonds were issued to finance deficits and other public expenditure. They accounted for a large share of domestic securities markets. A substantial portion of domestic savings was consequently channelled into public debt.
- **Bank financing and the productive sector**
  Banks bought government securities rather than directing more of their funds toward loans to firms. This tied bank portfolios more closely to the government's financing needs. High yields on government debt could make lending for production less attractive by comparison.

Capital inflows and lira appreciation

- **High interest rates and short-term inflows**
  The growth of domestic and external public debt contributed to higher domestic rates. Relatively high yields attracted capital seeking short-term returns. These inflows were sensitive to expectations about interest rates and the lira.
- **Lira appreciation and trade**
  Capital inflows increased the supply of foreign currency and supported the lira. An appreciated lira made imports cheaper relative to domestic goods and made exports more difficult to sell abroad. The trade and current account balances came under pressure.
- **Dependence on continued external finance**
  A current account deficit had to be matched by net financing or the use of reserves. Short-term capital could provide that financing while investors were willing to hold lira assets. A reversal could then expose the economy to immediate pressure on the exchange rate and reserves.

Privatisation and the changing role of the state

- **A larger role for private enterprise**
  The programme sought to reduce the weight of state-owned production and allow more space for private businesses. Preparations were made to privatise public enterprises. The pace of implementation varied, and further privatisation efforts formed part of the 1994 measures.
- **Industrial capacity and public investment**
  Reduced state involvement limited direct public participation in industrial investment. A concern was that private investment alone might not provide sufficient infrastructure or support for innovation. The development effect depended on whether private capacity and investment replaced the activities that were reduced.
- **Distribution and access to public services**
  Private provision expanded in areas including education and health. This could make access to some services more dependent on household resources. The effects of restructuring therefore extended beyond public spending and enterprise finances.

Institutional restructuring in public administration

- **Treasury and foreign-trade administration**
  The organisation of public administration changed as the new programme was implemented. Treasury and foreign-trade undersecretariats became important in the early reform period. Their prominence reflected the greater emphasis on managing public finance and external economic relations.
- **A reduced role for the State Planning Organisation**
  Comprehensive planning had previously guided public investment and the industrial strategy. After 1980, more decisions were left to markets and private initiative. The State Planning Organisation gradually lost influence in the new framework.
- **Regulation and supervision**
  Regulatory and supervisory agencies emerged alongside the reduced emphasis on direct state production. Financial crises brought the need for stronger supervision into focus. After the 2001 crisis, the programme called for further changes to financial institutions and public governance.

Economic and financial crises

- **Economic crisis**
  An economic crisis is a severe deterioration in economic activity and welfare. Output and employment can fall, reducing the incomes available to households. The severity and duration of crises differ across episodes.
- **Financial crisis**
  A financial crisis disrupts markets or the institutions that allocate funds and settle payments. It can involve falls in asset prices, losses on balance sheets or sharp increases in the cost of borrowing. Currency, banking and sovereign debt problems can occur separately or together.
- **Transmission to the real economy**
  Financial institutions may cut lending as their funding becomes scarce or their balance sheets weaken. Households and firms then have less finance for consumption, investment and operating expenses. The resulting fall in demand and production can deepen the initial financial crisis.

Types of financial crisis

Type	Main disturbance	Typical manifestation
Currency	Confidence in the currency or external financing	Depreciation, reserve loss or defensive rate increases
Banking	Bank liquidity or balance sheets	Runs, asset losses and bank failures
Systemic	Core financial functions	Impaired payments and credit allocation
Sovereign debt	Servicing government obligations	Default, rescheduling or moratorium

- **Currency crisis**
  A loss of confidence can lead investors to sell the domestic currency. The authorities may defend the exchange rate by selling reserves or raising interest rates. If that defence fails, the currency may depreciate sharply.
- **Banking crisis**
  Banks can face a shortage of liquid funds when depositors or lenders withdraw. Losses on loans or securities can also weaken bank capital. Funding stress and balance-sheet losses may lead to bank failures or forced interventions.

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- **Systemic financial crisis**
  A shock becomes systemic when essential financial functions are impaired across the system. Credit allocation, asset valuation and the settlement of payments can all be disrupted. The resulting interruption can damage production and expenditure outside the financial sector.
- **Sovereign debt crisis and overlapping crises**
  A sovereign debt crisis arises when a government cannot service its obligations or has to renegotiate them. Debt distress can also weaken the banks that hold government securities or make investors less willing to finance the country. Currency and banking problems can therefore accompany public debt difficulties.

Three generations of currency crisis models

Model	Central mechanism	Question for Türkiye
First generation	Policies conflict with the exchange-rate commitment	Can fiscal and monetary policies sustain the anchor?
Second generation	Expectations make defence of the peg too costly	Will authorities defend the rate under pressure?
Third generation	Financial weaknesses amplify currency shocks	How exposed are banks to currency and maturity risk?

- **First-generation models: policy inconsistency**
  The authorities commit to an exchange rate that conflicts with fiscal or monetary policy. Investors anticipate that reserves cannot sustain the commitment indefinitely. The exchange rate may collapse after a speculative attack accelerates the reserve loss.
- **Second-generation models: expectations and credibility**
  Investors may doubt whether the authorities will accept the domestic costs of defending the exchange rate. That expectation can trigger withdrawals, which raise the cost of maintaining the peg. A crisis can occur even without a new deterioration in the underlying fundamentals.

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- **Third-generation models: balance sheets** Banks and firms may have foreign-currency debt and rely on short-term funding. Depreciation raises the domestic value of foreign-currency liabilities, while withdrawals make refinancing difficult. These exposures were important in Türkiye in 2000–2001, alongside concerns about the credibility of the anchor.

Orthodox and heterodox stabilisation

Orthodox programme	Heterodox programme
Tighter fiscal and monetary policy	Fiscal and monetary adjustment
Price reforms and reduced subsidies	Temporary wage and price policies
Adjustment of demand and external payments	Direct action on inflation expectations and inertia

- **Orthodox stabilisation**
  Monetary restraint and fiscal adjustment are used to reduce excess demand and external pressure. Price reform and lower subsidies are intended to change incentives and improve resource allocation. The immediate restraint can reduce output and employment before price stability is secured.
- **Heterodox stabilisation**
  Fiscal and monetary adjustment is combined with temporary measures affecting wages and prices. Those measures aim to interrupt the tendency for past inflation to feed into new wage and price decisions. The programme still depends on a credible fiscal and monetary framework once temporary controls end.

The build-up to the 1994 crisis

- **Persistent inflation**
  Inflation fluctuated around 60 to 70 percent in the early 1990s. Monetary financing of budget deficits and increases in public-enterprise prices contributed to persistent price increases. The disinflation achieved in the early 1980s had not become lasting price stability.
- **Fiscal deficits and financing costs**
  Persistent deficits required continued government borrowing. Government securities absorbed much of the savings available in domestic financial markets. Higher interest costs then made it more difficult to finance the existing stock of public debt.
- **Short-term capital and the external deficit**
  Relatively high domestic yields encouraged short-term inflows. The lira appreciated, imports increased and exports came under pressure. The resulting current account deficit increased the need to maintain external financing.

The immediate triggers of the 1994 crisis

- **The effort to reduce interest costs**
  At the end of 1993, the government sought lower interest rates to reduce the budget's interest burden. It also hoped to support domestic asset prices. The effort took place while fiscal and external deficits still required financing.
- **Monetary financing and declining confidence**
  Central Bank resources were used to finance part of the budget deficit. Investors were also concerned about the balance of payments and the sustainability of the exchange rate. Credit-rating downgrades added to doubts about the government's financing position.
- **Asset sales and capital outflow**
  Domestic and foreign investors sold assets as confidence deteriorated. Demand for foreign currency rose as investors moved funds out of the country. The outflow intensified pressure on the lira and made stabilisation more difficult.

The 5 April 1994 decisions

Area	Measures
Budget adjustment	Public wage restraint, higher enterprise prices and additional taxes
Exchange rate and exports	Market determination of the exchange rate and export incentives
Financial confidence	Tax relief on securities and government assurance of savings deposits
Institutional reform	Limits on monetary financing, greater autonomy and privatisation

- **Budget adjustment**
  Public wages and salaries were frozen, and public-enterprise prices were raised. Additional taxes were introduced to increase government revenue. These measures were intended to reduce the budget deficit and support price stability.
- **The exchange rate and exports**
  The exchange rate was left to market supply and demand. Export incentives were introduced to support foreign earnings. The trade balance improved as the lira depreciated and exports were encouraged.

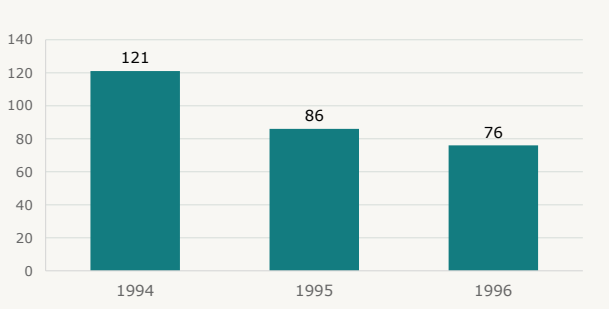
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- **Financial confidence**
  Taxes on Treasury bills and bonds were removed to make lira securities more attractive. The government also provided assurance for savings deposits. The measures sought to restore confidence as domestic and foreign investors were selling assets.
- **Institutional reforms**
  Use of Central Bank resources to finance the budget was restricted. Greater Central Bank autonomy and faster privatisation were included in the programme. Structural reforms were not completed as intended.

Inflation and adjustment after 1994

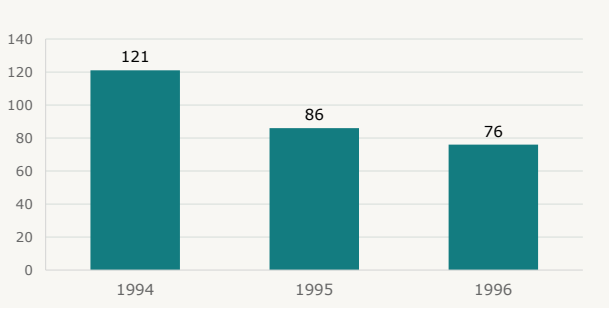
Inflation rate, %



- **Inflation after the April measures**
  The historical series shown records inflation of 121 percent in 1994, 86 percent in 1995 and 76 percent in 1996. Inflation fell after 1994 but remained high. A decline in the annual rate does not establish lasting price stability.
- **Partial improvement in the fiscal and trade balances**
  Higher public-enterprise prices and new taxes helped narrow the budget deficit. Lira depreciation and export incentives supported an improvement in the trade balance. These gains did not prevent continued inflation and financing pressures.

Inflation and adjustment after 1994

Inflation rate, %



- **Unfinished reforms and continuing pressures**
  Privatisation and social security restructuring did not proceed as intended. Public expenditure, interest costs and insufficient tax receipts remained sources of pressure. Slower investment and persistent structural problems left the economy vulnerable to later shocks.

International financial integration

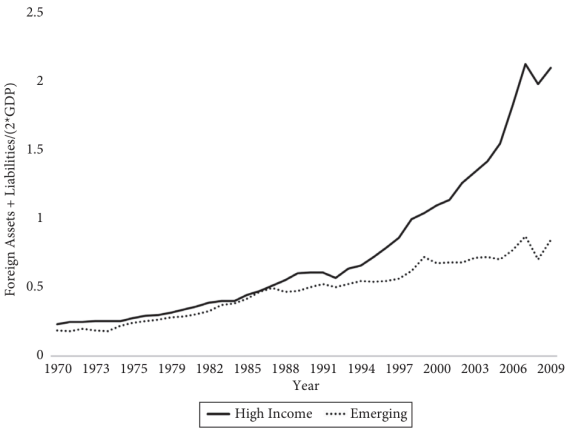


Figure 13.1 Foreign Assets and Liabilities/World GDP, 1970–2009

- The figure measures foreign asset and liability stocks relative to GDP, not annual capital flows.
- Financial integration increased in both groups, especially high-income economies.
- Türkiye's opening occurred within this wider international change.

Capital controls by income group

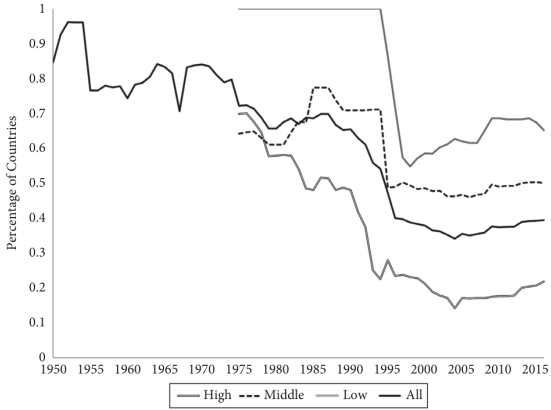
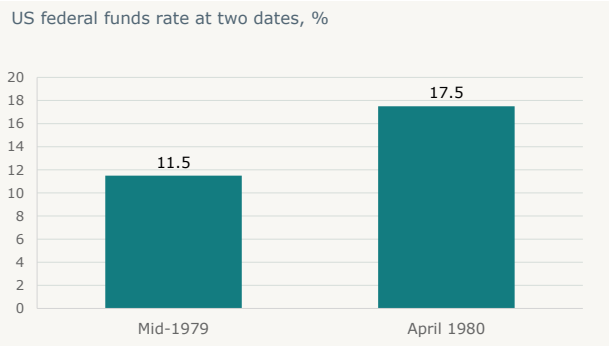


Figure 13.2 Percentage of countries with capital controls, by income status, 1950–2016

- The lines show the share of countries with capital controls in each income group.
- Controls declined markedly among high-income countries during the 1980s and 1990s.
- Liberalisation proceeded at different speeds across income groups.

Latin America's debt crisis



- US interest rates rose from 11.5% in mid-1979 to 17.5% by April 1980.
- The increase raised debt-service costs for heavily indebted borrowers.
- Mexico's August 1982 default preceded a wider regional debt crisis.

Europe's 1992 currency crisis

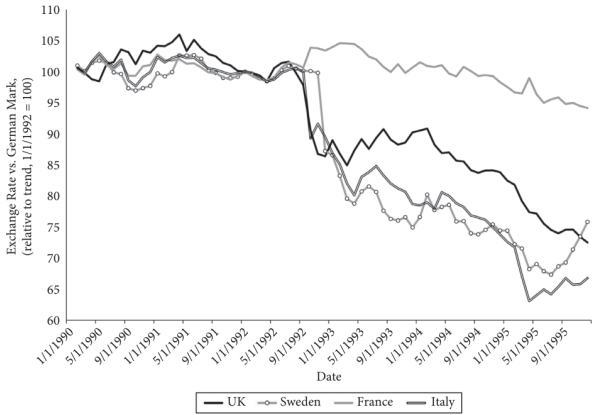


Figure 13.3 Exchange Rates versus German Mark, 1990–1995

- The figure shows sharp exchange-rate breaks during and after the 1992 crisis.
- Defending an exchange-rate commitment with high interest rates had domestic costs.
- The episode highlights credibility and expectations beyond a simple deficit explanation.

The Asian crisis and financial contagion

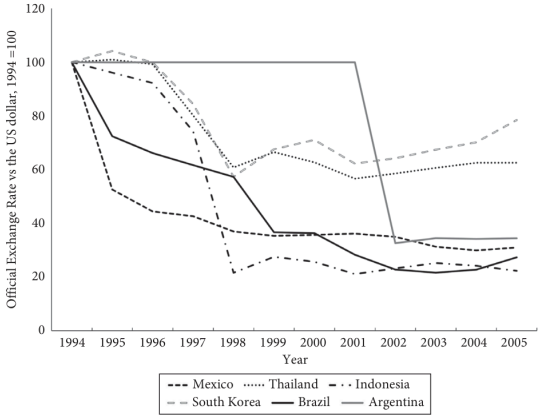


Figure 13.4 Exchange Rates versus US Dollar in Six LDCs (1994 = 100), 1994–2005

- Exchange-rate breaks spread across several emerging economies in the late 1990s.
- Foreign-currency debt and short-term finance made depreciation more damaging.
- Bank fragility, moral hazard and shifts in investor expectations intensified the crisis.

International comparisons of financial crises

Case	Prominent vulnerability	Link to Türkiye's experience
Latin America, 1982	Foreign debt and interest-rate exposure	Dependence on external financing conditions
Europe, 1992	Credibility and costs of defending exchange rates	Limits of an exchange-rate commitment
Asia, 1997–1998	Bank fragility and currency mismatches	Balance-sheet risks during capital-flow reversals

- Fiscal credibility, bank resilience and the structure of external finance must be assessed together.

External and domestic shocks in 1998–1999

- **Asian and Russian financial crises**
  The Asian crisis and the Russian crisis raised uncertainty across emerging markets. Short-term funds left Türkiye as investors reduced their exposure. Public debt and inflation were already high, and growth slowed.
- **Earthquakes, elections and public spending**
  The two major earthquakes in August and November 1999 increased demands on public expenditure. Spending pressures associated with the general election added to the burden. The budget deficit and concerns about refinancing public debt increased.
- **Exports, tourism and the domestic slowdown**
  Export and tourism receipts declined in 1999. This reduced sources of foreign currency as economic activity weakened. The government sought a new stand-by arrangement to address the financing and disinflation problems.

The December 1999 disinflation programme

- **IMF support for 2000–2002**
  The government agreed a new stand-by arrangement in December 1999. The arrangement covered the period from 2000 to 2002 and included a credit facility of about four billion US dollars. It supported a programme centred on exchange-rate-based disinflation and monetary control.
- **Inflation expectations, real rates and growth**
  The programme sought to reduce uncertainty about future prices. Lower expected inflation and a more predictable exchange rate were intended to reduce risk premiums and real interest rates. Lower financing costs were expected to support growth.
- **Fiscal adjustment, privatisation and the anchor**
  Tight fiscal policy was intended to increase the public sector primary surplus. Privatisation proceeds were expected to help reduce domestic public debt. A preannounced exchange-rate path was used to align monetary and price developments with the inflation target.

The exchange rate as a nominal anchor

- **The currency basket**
  The lira followed a preannounced path against a basket made up of one US dollar and 0.77 euro. The programme specified the lira value of this combined basket. The arrangement was a crawling peg because the announced rate was allowed to change gradually.
- **The planned annual change**
  The lira price of the basket was scheduled to increase by about 20 percent over a year. This implied planned nominal depreciation rather than an unchanging exchange rate. The scheduled path was set in line with the disinflation programme.
- **Reducing uncertainty and inflation expectations**
  A published exchange-rate path was intended to give firms and households a basis for setting prices and wages. Greater predictability could reduce perceived currency risk while the policy remained credible. If domestic prices rose faster than the basket's lira price, the lira could still appreciate in real terms.

Bank balance sheets and vulnerability

Vulnerability	What changes during stress	Why the bank is exposed
Foreign-currency open position	The lira depreciates	Foreign-currency obligations cost more lira
Maturity mismatch	Short-term funding becomes scarce	Assets cannot quickly cover withdrawals
Low equity	Asset values fall or losses rise	A small buffer absorbs limited losses

- **Open foreign-currency positions**
  Banks had substantial foreign-currency liabilities relative to their assets in those currencies. When the lira depreciated, the domestic value of those net liabilities increased. A bank could therefore incur losses even if its obligations were unchanged in foreign currency.
- **Maturity mismatch**
  Some banks funded longer-term assets with shorter-term liabilities. When lenders declined to renew funding, those assets could not always be sold quickly without loss. Banks then faced higher borrowing costs or an immediate shortage of cash.

Bank balance sheets and vulnerability

Vulnerability	What changes during stress	Why the bank is exposed
Foreign-currency open position	The lira depreciates	Foreign-currency obligations cost more lira
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Low equity	Asset values fall or losses rise	A small buffer absorbs limited losses

- **Low equity and simultaneous pressures** Low equity left banks with a small buffer against losses. Higher interest rates, falling asset values and depreciation could occur together. A liquidity problem could then turn into a solvency problem.

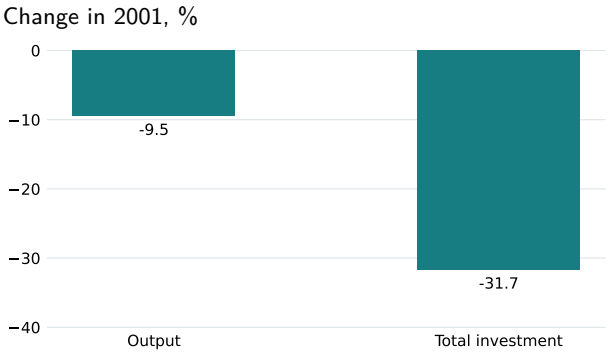
November 2000: Liquidity stress and loss of confidence

- **Bank funding pressures and overnight rates**
  Some banks were transferred to the deposit insurance fund while others faced funding shortages. Banks that needed immediate cash increased demand in the overnight money market. Overnight rates rose sharply as liquidity became harder to obtain.
- **Foreign currency demand and reserve losses**
  Pressure on the banks was accompanied by demand for foreign currency. Capital outflows and the defence of the exchange-rate path reduced Central Bank reserves. Foreign exchange reserves fell by about five billion US dollars in the November episode.
- **Temporary relief**
  Central Bank intervention and IMF lending brought short-term relief to financial markets. The immediate funding pressure subsided. Fragile bank balance sheets and doubts about the exchange-rate commitment remained.

February 2001: Collapse of the exchange-rate programme

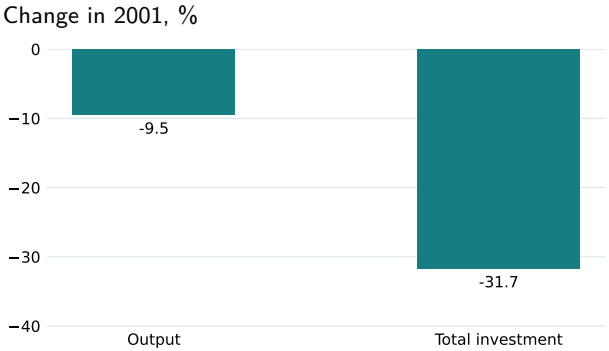
- **The political trigger of 19 February**
  A dispute between the prime minister and president became public after the National Security Council meeting. Investors reacted in a market already weakened by the November crisis. The dispute triggered renewed panic rather than creating the underlying financial vulnerabilities.
- **Higher rates and further reserve losses**
  Banks and investors sought liquidity and foreign currency as confidence fell. Overnight interest rates rose again and reserves fell by about five billion US dollars. The cost of maintaining the announced exchange-rate path became increasingly difficult to bear.
- **Abandonment of the exchange-rate programme**
  The authorities abandoned the quasi-fixed regime and allowed the lira to float. The currency depreciated sharply after the change. The loss of the anchor required a new programme for disinflation and banking-sector repair.

Effects of the 2001 crisis on the real economy



- **Output and investment contraction**
  The historical estimates shown put the output contraction at 9.5 percent and the fall in total investment at 31.7 percent in 2001. Investment fell much more sharply than aggregate output. The two bars show percentage changes in different aggregates, each relative to its own previous level.
- **Consumption, capacity utilisation and jobs**
  Both public and private consumption declined as the crisis reached the real economy. Producers used less of their available capacity. Unemployment rose as weaker demand and finance reduced activity.

Effects of the 2001 crisis on the real economy



- **Current account adjustment**
  Lower domestic demand reduced imports. Depreciation also helped support exports, and the current account moved into surplus. That improvement occurred during a sharp contraction, so it should not be read as evidence of domestic recovery.

The banking and currency crises of 2000–2001

- **The currency crisis**
  Increased demand for foreign exchange depleted reserves. The authorities could no longer maintain the announced exchange-rate path. Once the lira floated, depreciation increased the domestic cost of foreign-currency obligations.
- **The banking crisis**
  Banks had relied on short-term funding and carried mismatches between assets and liabilities. Some had more foreign-currency liabilities than assets, and capital buffers were low. Higher interest rates and depreciation made these weaknesses more costly.
- **Reinforcement and effects on production**
  Pressure on banks weakened confidence in the exchange-rate programme. Depreciation then increased losses at banks with open foreign-currency positions. When bank lending and domestic expenditure contracted, the disruption reached investment and production.

The April 2001 transition programme

Priority	Objectives
Banking	Restructure banks and reconnect finance with production
Public finance	Permanently strengthen the financing balance
Monetary framework	Reduce inflation under a floating exchange rate
Institutions and society	Improve transparency, efficiency and social solidarity

- **Banking restructuring**
  Bank restructuring was intended to restore the ability of financial institutions to provide credit. The programme sought to strengthen the link between finance and production. Reducing fragility in bank balance sheets was central to that objective.
- **Public financing**
  The programme called for a lasting improvement in the public financing balance. Strengthening public finances was intended to reduce uncertainty about borrowing and refinancing. Transparency measures were also proposed to improve the management of public resources.

The April 2001 transition programme

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Institutions and society	Improve transparency, efficiency and social solidarity

- **Disinflation under a floating exchange rate**
  After the exchange-rate path was abandoned, the lira was allowed to float. Disinflation remained a policy objective under the new regime. Macroeconomic policy had to lower inflation without relying on the previous exchange-rate commitment.
- **Institutions and social effects**
  New legal arrangements were proposed to improve transparency, competition and efficiency. The programme included social solidarity among its priorities. These institutional measures accompanied the fiscal, monetary and banking response.

Assessment of liberalisation, 1980–2001

Dimension	Gains	Problems
Trade and production	Export expansion and competitive pressure	Import dependence and limited technological capability
Finance	Wider access to domestic and foreign funds	Reversals, bank fragility and public borrowing
State and institutions	More private activity and new regulators	Implementation, credibility and public capacity
Welfare	Greater access to goods and product variety	Pressure on labour incomes and crisis losses

- **Trade and production**
  Export promotion increased access to foreign markets, while import competition encouraged improvements in some domestic products. Imports also rose, and reliance on foreign inputs continued to expose production to exchange-rate and financing pressures. Technology and skills remained important to lasting competitiveness.
- **Finance**
  Financial opening broadened access to domestic and external funds. Public borrowing channelled a large share of domestic finance toward government securities. Dependence on short-term funding and fragile bank balance sheets made reversals more disruptive.

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- **State and institutions**
  Private initiative gained importance as direct public production and planning receded. Regulatory and supervisory institutions became more important in the new framework. The 2001 response highlighted the continuing need for effective public institutions and credible policies.
- **Welfare and distribution**
  Import competition encouraged quality improvements in some consumer goods. Labour incomes were under pressure during parts of the adjustment, and the 2001 contraction brought lower employment and spending. The gains from openness and the costs of adjustment were distributed unevenly.

Review and discussion

- **How did the 1980 programme combine stabilisation and restructuring?**
  Stabilisation sought to contain inflation, obtain foreign finance and restore access to imported inputs. Restructuring changed the incentives to produce, trade and invest by emphasising exports and market prices. Public-enterprise pricing reform served both aims by reducing losses and changing how prices were determined.
- **Why could capital inflows ease financing and increase vulnerability?**
  Inward funds could help cover external deficits and supplement domestic savings. If the financing was short-term, borrowers had to renew it frequently. A loss of confidence could lead to withdrawals just as banks or the government needed to refinance.

Review and discussion

- **How did fiscal pressures, the anchor and bank balance sheets interact?**
  Public borrowing increased banks' exposure to government securities and interest-rate movements. Defending the exchange-rate path under pressure pushed up rates and depleted reserves. When the lira depreciated, losses on open foreign-currency positions compounded the banking difficulties.
- **Which lessons do the international comparisons add?**
  External interest rates and the maturity of debt matter for the ability to refinance. The credibility of an exchange-rate commitment depends partly on the domestic costs of defending it. Balance-sheet weaknesses help explain how depreciation can turn a currency shock into a banking crisis.